promised to invest US $46 billion in Pakistan over the course of the next few years. Economic incentives are also being offered by China to Nepal, Bangladesh and Sri Lanka. Indian leaders are aware that managing a sphere of influence is not only a function of telling others what to do but being able to expend resources that deny space to competitors.

India's neighbours complain that India has a history of big promises and extremely slow follow-through on aid projects. The gap between promise and delivery is seen in Bangladesh, Nepal, Sri Lanka and even Afghanistan where India is currently the largest regional bilateral donor. Under Prime Minister Manmohan Singh, and especially since the election of Narendra Modi, India has sought to offer trade concessions, such as zero tariff or removing non-tariff barriers, and concessional loans and credit to Afghanistan, Bangladesh, Sri Lanka and Nepal.

As prime minister, Modi has articulated a more assertive vision for India's external relations. South Asia, India's immediate periphery, is as critical to India under Modi as it was under his predecessors. Modi invited all South Asian heads of government to his inauguration and has travelled to Bhutan, Nepal, Mauritius, Myanmar, Sri Lanka, and Bangladesh within less than two years of coming to office. He even attempted a strategic thaw in relations with Pakistan through his short stopover in Lahore in December 2015 to meet with Pakistani prime minister Nawaz Sharif though that effort remained unfruitful.

On the first stand-alone bilateral tour to Sri Lanka since 1987 by an Indian prime minister, Modi pushed for reducing non-tariff barriers, encouraging economic cooperation, promised to address Colombo's concerns about trade, offered US $315 million in a line of credit to upgrade Sri Lankan rail infrastructure and promised to help the port of Trincomalee to become a petroleum hub. Modi also sought to reassure Sri Lanka over New Delhi's policy on the Tamil issue, stating, 'We stand with you in your efforts to build a future that accommodates the aspirations of all sections of